TKW

Your peace of mind is our passion.

September 30, 2026

Audit Committee
Portland Public Schools
501 N. Dixon Street
Portland, Oregon 97227

Attention: Patte Sullivan, Audit Committee Chair

We are writing this letter in connection with our audit of the financial statements of Portland Public Schools (the District) as of and for year the ended June 30, 2026.

We are required by our professional standards to have certain communications with you to promote effective two-way communication between us, in our role as independent auditors, and yourselves, in your role as those charged with governance of the District. In this letter, we will:

- Address our responsibilities as independent auditors and provide an overview of the planned scope and timing of the audit.
- Request that you provide any additional information you may have that could be relevant to our audit.

Responsibilities

The respective responsibilities of ourselves and of management in relation to the audit of the financial statements are set out in our engagement letter dated April 27, 2026.

Our responsibility, as described by professional standards, is to form and express an opinion about whether the financial statements that have been prepared by management, with your oversight, are prepared, in all material respects, in accordance with accounting principles generally accepted in the United States. We are responsible for performing the audit in accordance with generally accepted auditing standards (GAAS) and *Government Auditing Standards.* The matters that GAAS and *Government Auditing Standards* require to be communicated, therefore, include significant matters arising during the audit of the financial statements that are relevant to you in overseeing the financial reporting process. We are not required to design procedures for the purpose of identifying other matters to communicate with you.

As part of our audit, we will consider the internal control of the District. Such considerations are solely for the purpose of determining our audit procedures and not to provide any assurance concerning such internal control. As part of obtaining reasonable assurance about whether the financial statements are free of material misstatement, we will perform tests of the District's compliance with certain provisions of laws, regulations, contracts and grants. However, the objective of our tests is not to provide an opinion on compliance with such provisions. We will also consider internal control over compliance with requirements that could have a direct and material effect on a major federal program in order to determine the auditing procedures for the purpose of expressing an opinion on compliance and to test and report on internal control over compliance in accordance with the Uniform Guidance.

In accordance with the Uniform Guidance, we will examine, on a test basis, evidence about the District's compliance with the types of compliance requirements described in the U.S. Office of Management and Budget (OMB) Compliance Supplement applicable to each of its major federal programs for the purpose of expressing an opinion on the District's compliance with those requirements. While our audit will provide a reasonable basis for our opinion, it will not provide a legal determination on the District's compliance with those provisions.

The audit of the financial statements does not relieve management or those charged with governance of their responsibilities.

Independence

We have determined that it is appropriate to communicate to you any circumstances or relationships that, in our professional judgement, may reasonably be thought to bear on independence. We are not aware of any circumstances or relationships that would impair our independence.

Planned Scope and Timing of Our Audit

In developing our audit plan, we will work with management to understand the nature of the district and to identify and assess the risks of material misstatement in the financial statements, whether due to fraud or error. Our audit plan has been designed to focus on those identified areas of risk.

The concept of materiality recognizes that some matters, both quantitative and qualitative, are important for the fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States. Our responsibility is to plan and perform the audit to obtain reasonable assurance that material misstatements, either individually or in the aggregate, whether caused by errors or fraud, are detected.

Our audit of the financial statements includes consideration of internal control over financial reporting as a basis for designing audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over reporting.

The proposed timing of our audit (as discussed with management) is as follows:

Action	**Planned Date**
Start of preliminary fieldwork	May 4, 2026
Start of audit fieldwork	October 5, 2026

We communicate significant risks of material misstatement and areas of higher assessed risk of material misstatement that we identify to help you understand those matters and why they were determined to be significant risks. This communication may assist you in fulfilling your responsibility to oversee the financial reporting process. In planning our audit, we have preliminarily identified the following areas and plan to address them as follows:

Area	**Type**	**Why Significant and Plans on how to address**
Management Override of Controls	Significant Risk	Management could override controls in order to commit fraudulent financial reporting, misappropriate assets, and/or manipulate earnings. TKW will perform procedures over journal entries
Fraudulent Revenue Recognition	Significant Risk	Management could override controls in order to commit fraudulent financial reporting, misappropriate assets, and/or manipulate earnings. TKW will perform procedures over significant revenue balances.

If there are significant changes within the applicable financial reporting framework or in the District's environment, financial condition, or activities, we will modify our planned approach to address these implications. If there are other specific areas that warrant our particular attention during the audit or where you would like us to undertake additional procedures, please let us know.

We anticipate using specialized skills or knowledge to perform the planned audit procedures or to evaluate the audit results for the following areas:

- Valuation of liabilities and related balances associated with employee benefit and other post-employment benefit plans.

Communications

We did not discuss any significant issues with management in connection with our retention as auditors regarding the application of accounting principles and auditing standards.

Please communicate to us your views on the following matters, as appropriate:

- The allocation of responsibilities between those charged with governance and management.
- The District's objectives and strategies and the related business risks that may result in material misstatements.
- The important performance measures and how management measures and reviews the District's financial performance.
- The District's internal control and its importance, including how you oversee its effectiveness.
- The detection or the possibility of fraud at the District.
- Significant communications between the District and regulators.
- The District's response to developments in law, accounting standards, corporate governance practices, and other related matters; and the effect of such developments on the overall presentation, structure, and content of the financial statements, including the following:
  - The relevance, reliability, comparability, and understandability of the information presented in the financial statements;
  - Whether all required information has been included in the financial statements and whether such information has been appropriately classified, aggregated or disaggregated, and presented.
- Your actions in response to previous communications with us.
- Other matters you believe are relevant to the audit of the financial statements.

The persons with which we plan to communicate with, as those charged with governance, have been identified as the Audit Committee.

Internal Control Over Financial Reporting

In planning and performing our audit, we are considering the District's internal control over financial reporting in order to determine our auditing procedures for the purpose of expressing our opinion on the financial statements and not to provide assurance on the internal control over financial reporting. We will also consider internal control over compliance with requirements that could have a direct and material effect on a major federal program in order to determine our auditing procedures for the purpose of expressing our opinion on compliance and to test and report on internal control over compliance in accordance with the Guide.

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we will perform tests of its compliance with certain provisions of laws, regulations, contracts, and grants. However, providing an opinion on compliance with those provisions is not an objective of our audit. Also in accordance with the Guide, we will examine, on a test basis, evidence about the District's compliance with the types of compliance requirements described in the Guide applicable to each of its major federal programs for the purpose of expressing an opinion on the District's compliance with those requirements. While our audit will provide a reasonable basis for our opinion, it will not provide a legal determination on the District's compliance with those provisions.

Our responsibility for the supplementary information accompanying the financial statements, as described by professional standards, is to evaluate the presentation of the supplementary information in relation to the financial statements as a whole and to report on whether the supplementary information is fairly stated, in all material respects, in relation to the financial statements as a whole.

Restriction of Use

This letter is intended solely for the information and use of those charged with governance of Portland Public Schools and, if appropriate, management and is not intended to be, and should not be, used by anyone other than these specified parties.

Talbot, Korvola & Warwick, LLP